Worksheet: Making Economic Decisions

ECON 201

Write your answers in the spaces.

Definitions from today

Outside option. the next best alternative, the thing you fall back on.
Opportunity cost. what you give up by taking one action instead of the next best alternative.
Economic cost. direct cost plus opportunity cost.
Economic rent. the net benefit from the action you chose, minus the opportunity cost.

Would you go to the game?

(a) Fill in the numbers in the table. Your **benefit** from the game is the most you would pay for the Dodgers day. The **cost** of the shift is the least you would accept to work it. Then fill in the net benefit of each option.

	Go to the game	Work the shift
Benefit	_____	$120
Direct cost	$100	_____
Net benefit	_____	_____

(b) Given these numbers, what is your opportunity cost of going to the game, with the shift on the table?

(c) What is the economic cost of going to the game?

(d) What is the economic cost of taking the shift?

(e) So, which option do you choose? What is your economic rent from that option?

(f) Now suppose there is no shift on offer: your alternative is a quiet afternoon at home. Do you go to the game now? What is your opportunity cost of going in this case?